SECTION A – 2 MARKS

Q1.

Human Resource Development (HRD) is a planned and continuous process of developing employees' knowledge, skills, abilities, attitudes and values so that they contribute effectively to organisational objectives and achieve personal growth. In simple words, HRD means improving the abilities and potential of employees for better performance.

Q2.

Potential appraisal is a systematic process of evaluating an employee's future capability, leadership qualities and competencies to take up higher-level responsibilities. It asks "what can the employee achieve?" and supports promotion, succession planning and career development.

Q3.

An **assessment centre** is a systematic method of evaluating employees' competencies through simulated job situations such as group discussion, role play, case study, presentation, psychometric tests and in-basket exercises. It is used for selection, promotion, potential appraisal and leadership development.

Q4.

1. **Performance appraisal:** The systematic assessment of an employee's performance against set standards, which also identifies training needs.
2. **Training and development:** Training improves skills for the present job; development prepares the employee for future roles.

Q5.

Organisational climate is the employees' shared perception of the present work environment, such as openness, trust, support, fairness and freedom. It is "how the organisation feels" to its members, and it can change faster than culture.

Q6.

A **learning style** is a person's preferred way of taking in and processing information while learning, such as visual, auditory, reading/writing or kinesthetic (learning by doing). Trainers should use a mix of methods rather than label employees by one style.

Q7.

Human resource accounting (HRA) is the process of identifying, measuring and reporting the cost and value of an organisation's human resources. It treats spending on recruitment, selection, induction, training and development as an investment in people (for example Rs. 40,000 per employee).

Q8.

An **HR audit** is a systematic examination and evaluation of an organisation's HR policies, procedures, practices and systems. It checks whether HR activities such as recruitment, training, pay, appraisal and records are managed properly and whether the applicable rules and laws are followed.

Q9.

Basis	Training	Development
Focus	Present job	Future roles and overall growth
Time period	Usually short or medium term	Usually long term and continuous

Q10.

A **balanced scorecard** is a strategic performance management framework that turns an organisation's strategy into objectives and measures from four perspectives: financial, customer, internal process, and learning and growth. In HRD it links employee learning with processes, customers and financial results.

SECTION B – 5 MARKS

Q1.

1. **Personnel management (first stage):** The traditional, administrative stage; its focus was record keeping, wages, discipline and welfare, and its aim was to maintain employees.
2. **Human resource management (second stage):** The managerial stage; employees were seen as a resource to be managed and utilised for present performance.
3. **Human resource development (third stage):** The developmental stage; the focus is on developing the knowledge, skills, attitudes and potential of employees.
4. **Change in focus:** Administration (PM) → managing people (HRM) → developing people (HRD).
5. **Change in orientation:** Short-term maintenance (PM) → present performance (HRM) → long-term growth of the employee and the organisation (HRD).

Q2.

1. **Training and development:** Improves knowledge and skills for the present job and prepares employees for future roles.
2. **Performance and potential appraisal:** Performance appraisal evaluates present performance; potential appraisal identifies future capability for higher posts.
3. **Career planning and succession planning:** Maps the employee's career path and prepares employees to fill key positions in future.
4. **Employee counselling and feedback:** Helps employees with work-related and personal concerns and tells them how to improve.
5. **Rewards, recognition and organisation development:** Rewards encourage the desired performance, and OD builds a culture of openness, trust and teamwork.

Q3.

1. **Internal – personality and perception:** Personality decides how a person reacts to situations, and perception decides how they interpret events.
2. **Internal – attitude, motivation and values:** A positive attitude, strong motivation and values such as honesty and fairness lead to better behaviour.
3. **Internal – ability and learning:** The capacity to do the task and past experience shape how an employee behaves.
4. **External – leadership, culture and climate:** The leader's style and the organisation's culture and climate strongly influence how employees act.
5. **External – rewards, job design, group, policies and technology:** Rewards, the nature of the job, co-workers, fair policies, technology and the economic environment also shape behaviour.

Q4.

1. **Motivation and readiness:** People learn better when they have a reason to learn and are mentally and physically ready.
2. **Practice and active participation:** Repeated practice and taking part through cases, discussions and role plays make learning stronger than a lecture alone.
3. **Feedback and reinforcement:** Learners need to know what they did right and wrong, and behaviour that is rewarded is repeated.
4. **Meaningfulness and transfer:** Learning must be linked to real work and applied on the job; only then does performance improve.
5. **Maximising learning:** Set clear objectives, keep content relevant and difficulty right, give practice and repetition, a supportive environment, follow-up after training and evaluation of results.

Q5.

1. **Identify the problem:** Training need analysis is the systematic process of finding the gap between the skills employees have and the skills their jobs need; it starts with the organisational problem or performance objective.
2. **Collect information:** Through observation, interviews, questionnaires, performance appraisal reports, customer complaints and skill tests.
3. **Study three levels:** Organisational analysis (goals, strategy, resources), task or job analysis (duties and skills required) and individual analysis (each employee's present performance).
4. **Compare and find the cause:** Compare existing skills with required skills and confirm that training can solve the gap; lack of equipment or unrealistic targets need a different solution.
5. **Set priorities and recommend:** Set training priorities and objectives, and recommend the content, method, participants and schedule.

Q6.

(a) Outbound training

1. **Meaning:** Outbound training is learning through structured activities outside the usual workplace, often in an outdoor or unfamiliar setting.
2. **Activities:** Team-building games, group challenges, obstacle courses with proper safety, treasure hunts and outdoor projects, followed by reflection and discussion.
3. **Objectives:** It develops teamwork, leadership, trust, communication, planning, problem-solving and confidence; it is not just an outing, and needs planned objectives and supervision.

(b) Attitudinal training

4. **Meaning:** Attitudinal training develops positive work-related attitudes, values and behaviour towards work, customers, colleagues and change. Example: employees who are rude to customers learn empathy, patience and service attitude.
5. **Methods and importance:** Role play, case studies, group discussion, behavioural modelling, self-assessment with feedback, and counselling; it improves discipline, customer service, morale and cooperation.

SECTION C – 10 MARKS

Q1.

Meaning and levels of HRD

1. **Definition:** HRD is a planned and continuous process of developing employees' knowledge, skills, abilities, attitudes and values for organisational objectives and personal growth.
2. **Macro-level HRD:** The development of human resources at the national or societal level, through government and social initiatives.
3. **Macro-level activities:** Education and skill development, vocational training, employment generation and digital literacy, leading to national economic development.
4. **Micro-level HRD:** The development of employees within an organisation, through company initiatives.
5. **Micro-level activities:** Training and development, performance appraisal, career planning, leadership development and counselling, leading to organisational effectiveness.

Qualities and competencies of an HRD professional

6. **Communication and interpersonal skills:** Explains clearly, listens and builds good relations at every level.
7. **Leadership, decision-making and problem-solving:** Guides people, takes sound decisions and handles problems calmly.
8. **Ethics, integrity and emotional intelligence:** Is fair and honest and understands people's feelings.
9. **Strategic thinking and change management:** Links HRD to business goals and helps the organisation accept change.
10. **Coaching, training and performance management:** Acts as trainer, coach, mentor, facilitator, counsellor, performance evaluator and change agent.

Q2.

HRD mechanisms

1. **Performance appraisal:** Assesses performance against standards and identifies strengths, gaps and training needs.
2. **Potential appraisal:** Assesses the capacity for future, higher roles. Example: can a good sales executive become a sales manager?
3. **Training and development:** Training builds present competence; development builds future capability.
4. **Feedback and counselling:** Specific, timely and constructive feedback; counselling aimed at improvement, not punishment.
5. **Career planning, job rotation, coaching and rewards:** Career paths, movement across departments, guidance from seniors and recognition of good work.

Role of organisational climate and culture

6. **Meaning:** Climate is how the organisation feels to employees now; culture is the deeper values, beliefs and norms that explain why it behaves that way.
7. **HRD climate:** The employees' perception that the organisation supports learning, openness, trust and growth; it is built by top management support, fair personnel policies and line manager support.
8. **OCTAPAC culture:** Openness, Confrontation, Trust, Autonomy, Proactivity, Authenticity and Collaboration create a developmental culture.
9. **Positive climate:** Encourages learning, innovation, initiative, cooperation, motivation, communication and commitment.
10. **Negative climate:** Causes fear, resistance to change, low motivation, poor communication and turnover, so HRD efforts fail.

Q3.

Developing human capacity

1. **Meaning:** Developing human capacity means building the aptitude, knowledge, values and human relations skills of employees so that they can perform and grow.
2. **Aptitude:** A person's natural ability to learn and do a kind of work; recruitment should test customer handling, teamwork, adaptability and problem-solving, not only qualifications.
3. **Knowledge:** Product, process and system knowledge (for example CRM training) that employees must know and apply on the job.
4. **Values:** Integrity, honesty, fairness, accountability and customer orientation, built through ethics workshops so that targets are not met by unethical means.
5. **Skills of human relations:** Communication, listening, empathy, teamwork, negotiation, conflict resolution and emotional intelligence.
6. **Responsiveness, loyalty and transparency:** Ownership without fear of blame; recognition, career growth and mentoring for commitment; clear appraisal, promotion and reward rules for trust.

Leadership development

7. **Meaning:** The planned process of building leadership qualities such as decision-making, communication, team handling and strategic thinking, to prepare employees for managerial roles.
8. **Need:** Without it, few employees are ready to be promoted and managers must be hired from outside.
9. **Methods:** Leadership training, mentoring, coaching, job rotation, delegation of responsibility with authority, action learning on real problems and the case study method.

10. **Benefits:** A pipeline of future leaders, more internal promotions, higher motivation and better retention. Example: internal promotions rose from 18% to 31% at a retail company after an HRD programme.

Q4.

Tools for evaluating HRD

1. **Human resource accounting (HRA):** Identifying, measuring and reporting the costs and value of an organisation's human resources. Example (historical cost): recruitment Rs. 10,000 + selection Rs. 5,000 + training Rs. 15,000 + development Rs. 10,000 = Rs. 40,000.
2. **Methods and use of HRA:** Historical cost, replacement cost and opportunity cost methods; HRA shows the investment in people and supports manpower decisions, though human value is hard to measure in money.
3. **HR audit:** A systematic examination of HR policies, procedures, practices and systems, covering recruitment, training, compensation, appraisal, welfare, HR records and legal compliance.
4. **Steps in an HR audit:** Planning, collecting information, examination, identifying problems, preparing the report and corrective action; it improves efficiency and finds weaknesses.
5. **Benchmarking:** Comparing practices and performance with other organisations or recognised standards. Example: if one company takes 30 days to recruit and another takes 15, the first studies the second's process.
6. **Types and steps of benchmarking:** Internal, competitive, functional and generic; identify the area, select a partner, collect data, compare, find gaps, implement and monitor.

Impact of HRD on the bottom line

7. **Meaning:** Impact assessment measures the results of HRD activities; the bottom line is the organisation's final financial result, mainly net profit.
8. **Productivity, cost and quality:** Trained employees produce more, make fewer errors and less wastage, and give better products and service.
9. **Retention, customers and sales:** Career development lowers turnover and replacement cost; better service builds customer loyalty; product knowledge and selling skills raise revenue.
10. **Measuring the impact:** ROI = (Benefit − Cost) ÷ Cost × 100. Example: benefit Rs. 18 lakh on a cost of Rs. 12 lakh gives ROI = **50%**.